

2	Tran vs. Hyundai Motor America 30-2025-01479938	<u>Motion to Compel Arbitration</u> Defendant Hyundai Motor America’s Motion to Compel Binding Arbitration and Stat Action is GRANTED. The parties are ORDERED to arbitrate all claims between them that are asserted in this action This action shall be STAYED pending completion of the arbitration proceedings. The court SETS an ADR Review Hearing for February 25, 2027, at 10:00 a.m. in Department N15. Plaintiff Frank Tran’s Request for Judicial Notice in Support of Plaintiff’s Opposition to Defendant’s Motion to Compel Binding Arbitration is GRANTED as to Exhibit 4 and 6-9 and DENIED as to Exhibits 1-3 and 5. There is nothing in Exhibits 1-3 and 5 to show that they are official “records” of the courts of this state. (See Evid. Code, § 452, subd. (d.)) Plaintiff Frank Tran’s evidentiary objections to the Declaration of Jordan A. Willette is OVERRULED as to evidentiary objections numbers 1 and 2. <u>Pending Motion</u> Defendant Hyundai Motor America moves to compel arbitration of all of Plaintiff Frank Tran’s claims and to stay this action pending arbitration. <u>Standard for Compelling Arbitration</u> The law of this state with respect to arbitration agreements is contained in the California Arbitration Act (CAA), Civil Procedure Code section 1280, <i>et seq.</i> Under the CAA, when a party to an arbitration agreement refuses to submit to arbitration, the other party may petition the court to compel arbitration and stay any pending lawsuit. (See Code Civ. Proc., § 1281.2; <i>Condee v. Longwood Management Corp.</i> (2001) 88 Cal.App.4th 215, 218.) However, the right to arbitration is based on contract. (See <i>Little v. Pullman</i> (2013) 219 Cal.App.4th 558, 565.) Thus, the parties also may agree in the contract
-----------------	---	--

		that the arbitration will be controlled by the Federal Arbitration Act (FAA.) In addition, “[t]he FAA applies to any ‘contract evidencing a transaction involving commerce’ that contains an arbitration provision.” (<i>Carbajal v. CWPSC, Inc.</i> (2016) 245 Cal.App.4th 227, 238, quoting 9 U.S.C. § 2.) As with the CAA, when a party to an arbitration agreement governed by the FAA refuses to submit to arbitration, the other party may petition the court to compel arbitration and stay any pending lawsuit. (See 9 U.S.C. § 4.) The FAA states that written arbitration agreements “shall be valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract.” (9 U.S.C. § 2.) The United States Supreme Court has described this provision as reflecting both a “liberal federal policy favoring arbitration,” and the “fundamental principle that arbitration is a matter of contract.” (<i>AT & T Mobility LLC v. Concepcion</i> (2011) 563 U.S. 333.) Thus, the FAA permits arbitration agreements to be invalidated by “generally applicable contract defenses, such as fraud, duress, or unconscionability.” (<i>Ibid.</i>) When deciding whether a valid arbitration agreement exists, courts generally apply “ordinary state-law principles that govern the formation of contracts.” (<i>First Options of Chicago, Inc. v. Kaplan</i> (1995) 514 U.S. 938, 944.) On a motion to compel arbitration under the FAA, the court’s role is limited to deciding: “(1) whether there is an agreement to arbitrate between the parties; and (2) whether the agreement covers the dispute.” (<i>Brennan v. Opus Bank</i> (9th Cir. 2015) 796 F.3d 1125, 1130.) If these conditions are satisfied, the court is without discretion to deny the motion and must compel arbitration. (9 U.S.C. § 4; see <i>Dean Witter Reynolds, Inc. v. Byrd</i> (1985) 470 U.S. 213, 218 [“By its terms, the [FAA] leaves no place for the exercise of discretion by a district court, but instead mandates that district courts shall direct the parties to proceed to arbitration.”].) The party seeking to compel arbitration bears an initial burden to make a <i>prima facie</i> showing the
--	--	---

		claims asserted in the complaint are covered by a valid agreement to arbitrate. (<i>Molecular Analytical Systems v. CIPHERGEN Biosystems, Inc.</i> (2010) 186 Cal.App.4th 696, 710-711.) Then, “the party resisting arbitration bears the burden of proving that the claims at issue are unsuitable for arbitration.” (<i>Green Tree Fin. Corp. v. Randolph</i> (2000) 531 U.S. 79, 91.) If the court grants the motion to compel arbitration, it must stay the court action until completion of the arbitration. (See Code Civ. Proc., § 1281.4; <i>Thomas v. Westlake</i> (2012) 204 Cal.App.4th 605, 620 [if court orders arbitration, “it must also stay proceedings on the claims until completion of arbitration”].) <u>Applicability of the Federal Arbitration Act</u> Defendant seeks to compel arbitration pursuant to the arbitration agreement found in the “Owner’s Handbook & Warranty Information” manual (Warranty). (See Decl. of Jordan A. Willette in Supp. of Def.’s Mot. to Compel Binding Arbitration and Stay Action (Willette Decl.), ¶ 3, Exh. B at pp. 12-14.) The Warranty states that, “This agreement evidences a transaction involving interstate commerce and shall be governed by the Federal Arbitration Act, 9 U.S.C. §§ 1-16.” (<i>Id.</i>, Exh. B at p. 14.) Therefore, any agreement to arbitrate in this case will be controlled by the Federal Arbitration Act (FAA). <u>Existence of Arbitration Agreement</u> With regard to the existence of an agreement to arbitrate, the party seeking to compel arbitration bears “the ultimate burden of proof, but the court [is] obliged to resolve the dispute using a three-step burden-shifting process.” (<i>Iyere v. Wise Auto Group</i> (2023) 87 Cal.App.5th 747, 755.) Court of Appeal has explained that this process requires that: The arbitration proponent must first recite verbatim, or provide a copy of, the alleged agreement. A movant can bear this initial burden “by attaching a copy of the arbitration agreement purportedly bearing the opposing party’s signature.” At this step, a movant need not “follow the normal procedures of document authentication” and need only “allege the
--	--	--

		existence of an agreement and support the allegation as provided in rule [3.1330].” If the movant bears its initial burden, the burden shifts to the party opposing arbitration to identify a factual dispute as to the agreement’s existence — in this instance, by disputing the authenticity of their signatures. To bear this burden, the arbitration opponent must offer admissible evidence creating a factual dispute as to the authenticity of their signatures. The opponent need not <i>prove</i> that his or her purported signature is not authentic, but must submit sufficient evidence to create a factual dispute and shift the burden back to the arbitration proponent, who retains the ultimate burden of proving, by a preponderance of the evidence, the authenticity of the signature. <i>(Ibid., citations omitted, quoting Espejo v. Southern California Permanent Medical Group (2016) 246 Cal.App.4th 1047, 1060 & Condee v. Longwood Management Corp., supra, 88 Cal.App.4th at pp 218-219.)</i> In this case, Defendant introduced into evidence the Warranty, which states, in relevant part: BINDING ARBITRATION FOR CALIFORNIA VEHICLES ONLY PLEASE READ THIS SECTION IN ITS ENTIRETY AS IT AFFECTS YOUR RIGHTS THIS SECTION DOES NOT PRECLUDE YOU FROM FIRST PURSUING ALTERNATIVE DISPUTE RESOLUTION THROUGH BBB AUTO LINE AS DESCRIBED IN THE “ALTERNATIVE DISPUTE RESOLUTION” PROVISION IN SECTION 3 OF THIS HANDBOOK If you purchased or leased your Hyundai vehicle in the State of California, you and we, Hyundai Motor America, each agree that any claim or disputes between us (including between you and any of our affiliated companies) related to or arising out of your vehicle purchase, advertising for the vehicle, use of your vehicle, the performance of the vehicle, any service relating to the vehicle, the vehicle warranty, representations in the warranty, or the duties contemplated under
--	--	---

		the warranty, including without limitation claims related to false or misleading advertising, unfair competition, breach of contract or warranty, the failure to conform a vehicle to warranty, failure to repurchase or replace your vehicle, or claims for a refund or partial refund of your vehicle's purchase price (excluding personal injury claims), but excluding claims brought under the Magnuson-Moss Warranty Act, shall be resolved by binding arbitration at either your or our election, even if the claim is initially filed in a court of law. If either you or we elect to resolve our dispute via arbitration (as opposed to in a court of law), such binding arbitration shall be administered by and through JAMS Mediation, Arbitration and ADR Services (JAMS) under its Streamlined Arbitration Rules & Procedures, or the American Arbitration Association (AAA) under its Consumer Arbitration Rules. We will pay all fees for any arbitration except for the initial filing fee of \$250 SECTION 4 for JAMS or \$200 for AAA. The arbitration will be held in the city or county of your residence. To learn more about arbitration, including the applicable rules and how to commence arbitration, please contact: JAMS at www.jamsadr.org; 800-352-5267; or AAA at www.adr.org; 800-778-7879. This agreement to arbitrate is intended to be broadly interpreted and to make all disputes and claims between us (including our affiliated companies) relating to or arising out of your vehicle purchase, use or performance of your vehicle, or the vehicle warranty subject to arbitration to the maximum extent permitted by law. The arbitrator (and not a court) shall decide all issues of interpretation, scope, and application of this agreement. In any arbitration, the arbitrator shall be bound by the terms of this agreement and shall follow the applicable law. The arbitrator shall not have the power to commit manifest errors of law, and any award rendered by the arbitrator that employs a manifest error of law may be vacated or corrected by a court of competent jurisdiction for such error. The arbitrator may only resolve disputes between you and us and may not consolidate claims
--	--	--

		without the consent of all parties. The arbitrator cannot hear class or representative claims or requests for relief on behalf of others , or issue any award or remedy in arbitration against or on behalf of anyone who is not a named party to the arbitration, as permitted by law. In other words, you and we may bring claims against the other only in your or our individual capacity, and not as a plaintiff or class member in any class or representative action to the maximum extent permitted by law. You and we acknowledge and agree that, to the fullest extent permitted by law, we are each waiving the right to participate as a plaintiff or class member in any purported class action lawsuit, class-wide arbitration, private attorney general action, or any other representative proceeding. If a court or arbitrator decides that any part of this agreement to arbitrate cannot be enforced as to a particular claim for relief or remedy, then that claim or remedy (and only that claim or remedy) must be brought in court and must be stayed pending arbitration of the arbitrable claims and remedies. If a court or arbitrator decides that any part of this agreement cannot be enforced as to a particular request for public injunctive relief, then that request for public injunctive relief (and only that request for public injunctive relief) must be brought in court and must be stayed pending arbitration of the arbitrable remedies. If arbitration is elected by either party, the parties collectively agree that they waive their right to a jury trial. Notwithstanding the above, either you or we may file a lawsuit in small claims court for any claims that otherwise require binding arbitration, if the small claims court has jurisdiction. In addition, either you or we may invoke any JAMS Streamlined Arbitration Rules & Procedures or AAA Consumer Arbitration Rules that allow you or we to have a small claims court decide any claims that otherwise require binding arbitration. This agreement evidences a transaction involving interstate commerce and shall be governed by the Federal Arbitration Act, 9 U.S.C. §§ 1-16. Judgment upon any award in arbitration may be entered in any court having jurisdiction. IF YOU PURCHASED OR LEASED YOUR VEHICLE IN CALIFORNIA, YOUR
--	--	---

WARRANTY IS MADE SUBJECT TO THE TERMS OF THIS BINDING ARBITRATION PROVISION. BY USING THE VEHICLE, OR REQUESTING OR ACCEPTING BENEFITS UNDER THIS WARRANTY, INCLUDING HAVING ANY REPAIRS PERFORMED UNDER WARRANTY, YOU AGREE TO BE BOUND BY THESE TERMS. IF YOU DO NOT AGREE WITH THESE TERMS, PLEASE CONTACT US AT OPT-OUT@HMAUSA.COM WITHIN THIRTY (30) DAYS OF YOUR PURCHASE OR LEASE TO OPT-OUT OF THIS ARBITRATION PROVISION.

(Willette Decl., Exh. B at pp. 12-14, bold and capital letters original.)

In response, Plaintiff objects to admission of the Warranty on the basis that counsel for Defendant cannot authenticate it.

However, as explained above, Defendant need not “follow the normal procedures of document authentication” and is only required to allege the existence of an arbitration agreement and attach a copy of it to Defendant’s papers. (*Iyere v. Wise Auto Group*, supra, 87 Cal.App.5th 747, 755; see also Cal. Rules of Court, rule 3.1330 [“The provisions must be stated verbatim or a copy must be physically or electronically attached to the petition and incorporated by reference.”].)

Thus, Defendant has met the requirement of alleging the existence of an arbitration agreement, as contained in the Warranty, and the burden then falls upon Plaintiff to produce evidence to dispute the authenticity of the Warranty or that the Warranty does not contain an arbitration agreement.

Plaintiff has not met this shifted burden, and in fact, has not produced any evidence that calls into question the authenticity of the Warranty or the existence of the arbitration provision contained in the Warranty (Arbitration Agreement).

No Consent By Plaintiff

Instead, Plaintiff contends that he never informed or given notice of the Arbitration Agreement contained in the Warranty. (Decl. of Frank Tran in Supp. of Pltf.’s Opp’n to Def.’s Mot. to Compel Arbitration, ¶¶ 4-5.)

Plaintiff also asserts that he never signed the

		Arbitration Agreement and in fact, neither the Arbitration Agreement nor the Warranty contain a signature line. (See <i>id.</i>, ¶ 6.) However, as the Court of Appeal has explained: “[A] party may be estopped from asserting that the lack of his signature on a written contract precludes enforcement of the contract’s arbitration clause when he has consistently maintained that other provisions of the same contract should be enforced to benefit him. . . . [¶] A nonsignatory is estopped from refusing to comply with an arbitration clause ‘when it receives a ‘direct benefit’ from a contract containing an arbitration clause.” (<i>Boucher v. Alliance Title Co., Inc.</i> (2005) 127 Cal.App.4th 262, 269, quoting <i>International Paper Co. v. Schwabedissen Maschinen & Anlagen GMBH</i> (4th Cir. 2000) 206 F.3d 411, 418.) Thus, Plaintiff’ argument is barred by judicial estoppel, which prohibits “a party from making a factual assertion in a legal proceeding which directly contradicts an earlier assertion made in the same proceeding or a prior one.” (<i>International Engine Parts, Inc. v. Feddersen & Co.</i> (1998) 64 Cal.App.4th 345, 350, quoting <i>Russel v. Rolfs</i> (9th Cir. 1990) 893 F.2d 1033, 1037.) Here, the Complaint pleads causes of action that directly rely on the idea that the Warranty constitutes an agreement that binds Defendant. (See Compl., ¶ 11 [“When the Subject Vehicle was purchased, Plaintiff received express written warranties in which Defendant undertook to preserve or maintain the utility or performance of Subject Vehicle or to provide compensation if there is a failure in utility or performance for a specified period of time. The warranty provided, in relevant part, that in the event a nonconformity developed within Subject Vehicle during the applicable warranty period, Plaintiff could deliver Subject Vehicle for repair to Defendant’s authorized service and repair facilities and Subject Vehicle would be repaired.”].) Those causes of action are premised on the Complaint’s allegation that the Warranty imposes specific obligations upon Defendant that Defendant allegedly breached. (See, e.g., Compl., ¶ 14 [“Defendant and/or its authorized service and repair
--	--	---

	facilities failed to service or repair Subject Vehicle to conform to the applicable express warranties after a reasonable number of opportunities to do so.”)). Plaintiff cannot reasonably argue that Defendant is bound by its obligations under the Warranty, while also contending that Plaintiff need not abide by his obligations under the Warranty. (See <i>Vargas-Lopez v. Hyundai Motor America</i> (C.D. Cal., Feb. 13, 2023, No. 8:22-CV-01526-FWS-JDE) 2023 WL 3035331 at p. *6 [equitable estoppel applies where “Plaintiff is simultaneously relying on the terms of the warranty to assert claims while attempting to avoid the arbitration agreement contained in the warranty”]; <i>Guaschino v. Hyundai Motor America</i> (C.D. Cal., Sept. 27, 2023, No. CV-23-04354-MWF-JPRx) 2023 WL 8126846, at p. *4 [“Plaintiff, by his own admission, is relying on the Warranty Agreement containing the Arbitration Provision as the basis for his claims”].) Plaintiff cites to <i>Norcia v. Samsung Telecommunications America, LLC</i>, LLC (9th Cir. 2017) 845 F.3d 1279, but that case is distinguishable. There, the plaintiff brought suit against the manufacturer of cellular telephones, contending that the defendant had misrepresented the “storage capacity [of the cellular telephones] and rigged the phone to operate at a higher speed when it was being tested.” (<i>Id.</i> at pp. 1282-1283.) Thus, the claims in the lawsuit had nothing to do with the limited warranty and arbitration provision that were placed in the box with the cellular telephone. (See <i>id.</i> at p. 1282.) The plaintiff in that case could and did take the position that he had never agreed to the limited warranty or arbitration provision, and the 9th Circuit agreed. (See <i>id.</i> at p. 1285.) The concept of equitable estoppel did not apply under the facts of that case and, in fact, was not mentioned in the 9th Circuit’s opinion. By contrast, Plaintiff’ lawsuit here is premised on the idea that the Warranty is valid and creates binding obligations upon the parties. Plaintiff also asks the court to consider, by way of judicial notice, the rulings of other Superior Courts on motions to compel.
--	--

		However, while “[c]ourts can take judicial notice of the existence, content and authenticity of public records and other specified documents, [they] <i>do not take judicial notice of the truth of the factual matters asserted in those documents.</i>”].) (<i>Dominguez v. Bonta</i> (2022) 87 Cal.App.5th 389, 400, italics original.) Without considering the facts of those cases, the court can draw no helpful insight from the rulings of other courts. In any case, California Rules of Court rule 8.1115 mandates that any unpublished opinion of the Court of Appeal or Superior Court “must not be cited or relied on by a court or a party in any other action.” (Cal. Rules of Court, rule 8.1115(a).) In sum, Plaintiff does not dispute that Defendant issued the Warranty and that the Warranty includes the Arbitration Agreement. Further, Plaintiff does not claim that he never received the Warranty or that his claims in this action are not based on the Warranty. Plaintiff also does not state that he opted out of the Arbitration Agreement, as he was expressly allowed to do within 30 days of purchase. To the contrary, Plaintiff accepted the benefits of the Warranty and now seeks to bring suit on the basis of the Warranty. Accordingly, Defendant has met its burden to establish the existence of the Arbitration Agreement and Plaintiff is estopped from arguing that no agreement exists because he did not sign it. <u>Whether the Arbitration Agreement Covers the Dispute</u> By its terms, the agreement to arbitrate in the Warranty applies to: [A]ny claim or disputes . . . related to or arising out of your vehicle purchase, advertising for the vehicle, use of your vehicle, the performance of the vehicle, any service relating to the vehicle, the vehicle warranty, representations in the warranty, or the duties contemplated under the warranty, including without limitation claims related to false or
--	--	--

		misleading advertising, unfair competition, breach of contract or warranty, the failure to conform a vehicle to warranty, failure to repurchase or replace your vehicle, or claims for a refund or partial refund of your vehicle's purchase price (excluding personal injury claims), but excluding claims brought under the Magnuson-Moss Warranty Act, shall be resolved by binding arbitration at either your or our election, even if the claim is initially filed in a court of law. . . . (Willette Decl., Exh. B at p. 12.) The agreement to arbitrate contained in the Warranty is broad enough to encompass Plaintiff's claims, which all relate to or arise out of "the vehicle warranty, representations in the warranty, or the duties contemplated under the warranty." <u>Scope of the Arbitration Agreement</u> By its terms, the agreement to arbitrate in the Warranty applies to: [A]ny claim or disputes . . . related to or arising out of your vehicle purchase, advertising for the vehicle, use of your vehicle, the performance of the vehicle, any service relating to the vehicle, the vehicle warranty, representations in the warranty, or the duties contemplated under the warranty, including without limitation claims related to false or misleading advertising, unfair competition, breach of contract or warranty, the failure to conform a vehicle to warranty, failure to repurchase or replace your vehicle, or claims for a refund or partial refund of your vehicle's purchase price (excluding personal injury claims), but excluding claims brought under the Magnuson-Moss Warranty Act, shall be resolved by binding arbitration at either your or our election, even if the claim is initially filed in a court of law. . . . (Willette Decl., Exh. 3 at p. 12.) The agreement to arbitrate contained in the Warranty is broad enough to encompass most of Plaintiff's claims, which relate to or arise out of "the vehicle warranty, representations in the warranty, or the duties contemplated under the warranty."
--	--	---

		<u>Waiver of Right to Arbitration</u> Plaintiff also asserts that “Defendant waived the right to compel arbitration by acting inconsistently with that right, such as failing to demand arbitration until <u>nearly one year</u> after filing an Answer, causing great prejudice to Plaintiff by delaying the process and forcing him to live with an unsafe and defective vehicle. See California Code of Civil Procedure §1281 et seq.” (Pltf.’s Opp’n to Def.’s Pet. to Compel Arbitration A Stay Proceedings, Mem. P.s&A.s (Opp’n) at p. 2:2-6, bold and underline original.) A party by conduct and actions can waive their right to arbitration. (See Code Civ. Proc., § 1281.2, subd. (a); see also <i>United States v. Park Place Assocs., Ltd.</i> (9th Cir. 2009) 563 F.3d 907, 921 [“The right to arbitration, like any other contract right, can be waived.”].) However, “[u]nder both the Federal Arbitration Act and state law, waivers of the right to arbitrate are not lightly inferred.” (<i>Hong v. CJ CGV America Holdings, Inc.</i> (2013) 222 Cal.App.4th 240, 248-249.) “Since arbitration is a strongly favored means of resolving disputes, courts must ‘closely scrutinize any claims of waiver.’” (<i>Sobremonte v. Superior Court</i> (1998) 61 Cal.App.4th 980, 991, quoting <i>Keating v. Superior Court</i> (1982) 31 Cal.3d 584, 604.) A “party who resists arbitration on the ground of waiver bears a heavy burden, and any doubts regarding a waiver allegation should be resolved in favor of arbitration.” (<i>Saint Agnes Medical Center v. Pacificare of California</i> (2003) 31 Cal.4th 1187, 1195, citations omitted, overruled on other grounds, <i>Quach v. California Commerce Club, Inc.</i> (2024) 16 Cal.5th 562, 582, fn.4.) Both the United States Supreme Court and the California Supreme Court have held that “in determining whether a party to an arbitration agreement has lost the right to arbitrate by litigating the dispute, a court should treat the arbitration agreement as it would any other contract, without applying any special rules based on a policy favoring arbitration.” (<i>Quach v. California Commerce Club, Inc.</i>, <i>supra</i>, 16 Cal.5th at p. 583, citing <i>Morgan v. Sundance, Inc.</i> (2022) 596 U.S. 411, 418.)
--	--	--

		Courts must “apply the same procedural rules that they would apply to any other contract.” (<i>Ibid.</i>) In other words, “[t]o establish waiver under generally applicable contract law, the party opposing enforcement of a contractual agreement must prove by clear and convincing evidence that the waiving party knew of the contractual right and intentionally relinquished or abandoned it.” (<i>Id.</i> at p. 584.) The intentional relinquishment or abandonment of the right to arbitrate “may be proved by evidence of words expressing an intent to relinquish the right or of conduct that is so inconsistent with an intent to enforce the contractual right as to lead a reasonable factfinder to conclude that the party had abandoned it.” (<i>Ibid.</i>) Despite making the argument above in the introduction to his opposition, Plaintiff later contends that “[t]here is no valid and enforceable agreement, so there need not be a waiver discussion.” (Opp’n at p. 10:19-20.) True to his word, Plaintiff does not provide any further explanation or argument regarding Defendant’s alleged waiver of its right to compel arbitration. Nor does Plaintiff submit any evidence that Defendant intended to abandon its right to enforce the Arbitration Agreement, other than the fact that Defendant filed this motion a little less than 11 months after filing the answer. This one fact, by itself, is not sufficient to meet the heavy burden placed upon Plaintiff to show by clear and convincing evidence that Defendant intended to waive its right to arbitration, nor can it overcome the strong presumption in favor of arbitration. <u>Retail Sales Installment Contract</u> Plaintiff next argues that there is no arbitration agreement in the Retail Sales Installment Contract (RISC), (see Willette Decl., ¶ 2, Exh. A), and therefore, the RISC does not serve as a valid basis to grant this motion. However, Defendant’s motion is based on the Arbitration Agreement contained in the Warranty. Therefore, Plaintiff’s argument is irrelevant.
--	--	---

		Here, Defendant has shown that it is entitled to arbitration of Plaintiff's claims and Plaintiff has put forward no valid basis to resist arbitration. Accordingly, the court will grant the motion to compel arbitration. <u>Stay of Pending Court Action</u> Civil Procedure Code section 1281.4 provides: If a court of competent jurisdiction, whether in this State or not, has ordered arbitration of a controversy which is an issue involved in an action or proceeding pending before a court of this State, the court in which such action or proceeding is pending shall, upon motion of a party to such action or proceeding, stay the action or proceeding until an arbitration is had in accordance with the order to arbitrate or until such earlier time as the court specifies. (Code Civ. Proc., § 1281.4.) The Court of Appeal has interpreted Section 1281.4 to mean that "[a]ny party to a judicial proceeding 'is entitled to a stay of those proceedings whenever (1) the arbitration of a controversy has been ordered, and (2) that controversy is also an issue involved in the pending judicial action.'" (<i>Heritage Provider Network, Inc. v. Superior Court</i> (2008) 158 Cal.App.4th 1146, 1152, quoting <i>Marcus v. Superior Court</i> (1977) 75 Cal.App.3d 204, 209.) This means that, as a general matter, if the court grants the motion to compel arbitration, it must stay the court action until completion of the arbitration. (See <i>Thomas v. Westlake</i> (2012) 204 Cal.App.4th 605, 620 [if court orders arbitration, "it must also stay proceedings on the claims until completion of arbitration"].) In addition to Section 1281.4, Section 3 of the FAA states that: If any suit or proceeding be brought in any of the courts of the United States upon any issue referable to arbitration under an agreement in writing for such arbitration, the court in which such suit is pending, upon being satisfied that the issue involved in such suit or proceeding is referable to arbitration under such an agreement, shall on application of one of the
--	--	---

		parties stay the trial of the action until such arbitration has been had in accordance with the terms of the agreement, providing the applicant for the stay is not in default in proceeding with such arbitration. (9 U.S.C., § 3.) Therefore, the court must grant the motion to stay these proceedings. Defendant shall give notice of this ruling.
3	Roushanzamir vs. Sierra 30-2025-01510882	<u>Motion to Compel Arbitration</u> Defendant Progressive Insurance Company's Motion to Compel Arbitration and Stay Civil Proceedings is DENIED without prejudice. <u>Pending Motion</u> Defendant Progressive Insurance Company moves to stay this action with respect to Plaintiff Ali Roushanzamir's claims against Defendant Progressive "until completion of contractual arbitration of the underlying Uninsured Motorist claim." (Def. Progressive's Mot. to Compel Arbitration and Stay Civil Proceedings [ROA #44] at p. 1:23-27.) <u>Prior Proceedings</u> On April 27, 2026, the court determined that Defendant Progressive had failed to properly serve Plaintiff with the motion papers, as required by Civil Procedure Code section 1005 and 1010.6. (See ROA #42 at pp. 1-2.) The court ordered that Defendant Progressive serve Plaintiff in a manner permitted by the Civil Procedure Code. Defendant Progressive filed the motion papers with a proof of service showing that Plaintiff had been properly served by regular mail. (See ROA #44 at p. 105.) Therefore, the court will address the motion on the merits. <u>Compelling Arbitration</u>